



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

ECONOMICS

PAPER 1 Multiple Choice

2283/1

JUNE 2016 SESSION

1 hour 15 minutes

Additional materials:

Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

TIME 1 hour 15 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet provided.

Read very carefully the instructions on the answer sheet.

INFORMATION FOR CANDIDATES

Each correct answer will score one mark. A mark will **not** be deducted for a wrong answer. Any rough working should be done in this booklet.

This question paper consists of 12 printed pages.

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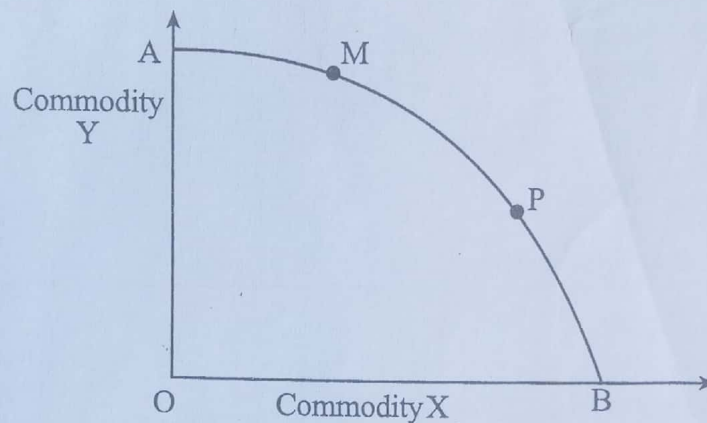
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[Turn over

1 To which of the following situations does the term *scarcity* refer to in Economics?

- A Demand exceeds supply.
- B There is limited quantity of raw materials to make industrial goods.
- C There is a shortage of foodstuffs in the dry season.
- D There are not enough resources available to meet all wants.

2 The diagram shows a production possibility curve AB for a country.

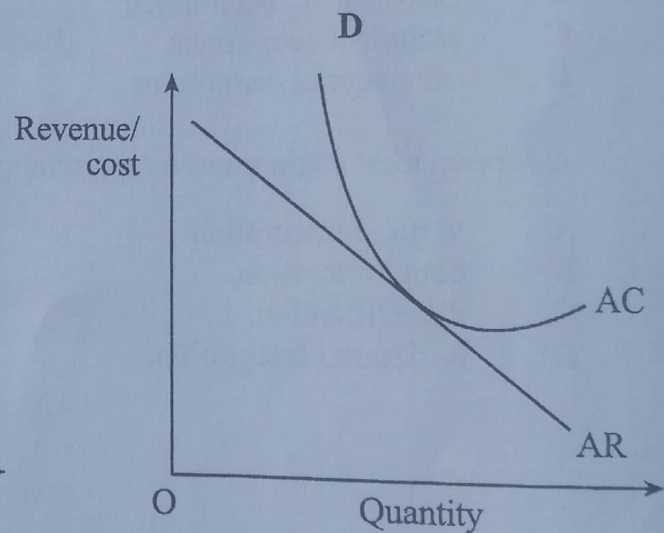
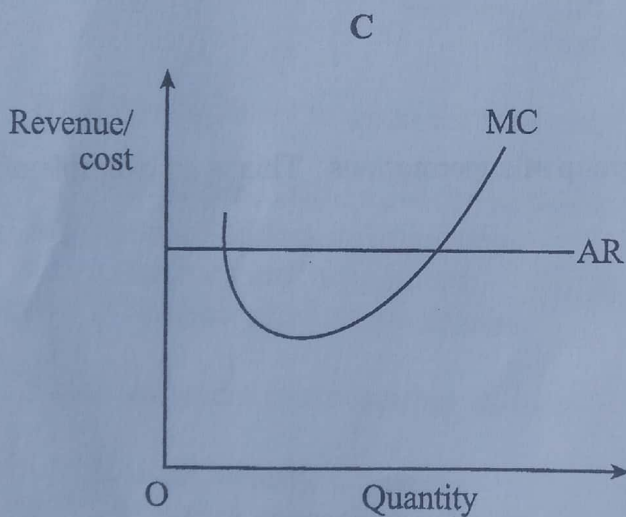
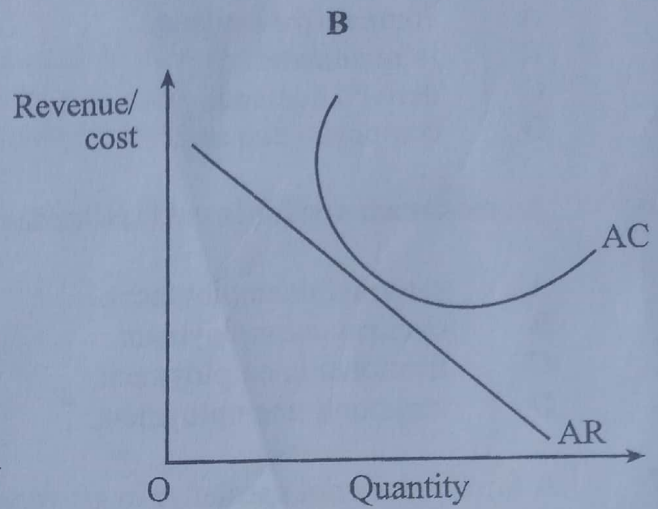
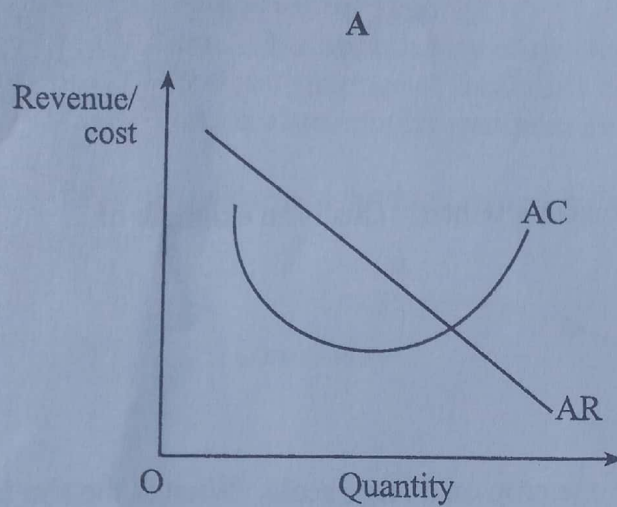


What is most likely to cause the movement from point M to point P shown on the PPC?

- A over-production of both commodities
 - B under-utilisation of resources
 - C reallocation of resources
 - D technological improvements.
- 3 Which statement best describes an economic good?
- A It has inelastic demand.
 - B It is very expensive to produce.
 - C It has no fixed costs associated with its production.
 - D It has limited supply.
- 4 A transport company has enough money to buy either two buses or four minibuses. What is the opportunity cost of one bus, if the company buys two buses?
- A 4 minibuses
 - B 3 minibuses
 - C 2 minibuses
 - D 1 minibus

- 5 Complements are goods in
- A competitive demand.
 - B joint demand.
 - C derived demand.
 - D composite demand.
- 6 An ice-cream vendor is made redundant during winter. This is an example of
- A seasonal unemployment.
 - B cyclical unemployment.
 - C frictional unemployment.
 - D structural unemployment.
- 7 A farmer does not specialise in growing one crop on a large scale. What is the aim in growing a variety of crops at a large scale?
- A financial economies
 - B risk-bearing economies
 - C technical economies
 - D managerial economies
- 8 A supermarket chain takes over a rival group of supermarkets. This is an example of
- A vertical integration.
 - B conglomeration.
 - C diversification.
 - D horizontal integration.

- 9 The diagrams show the cost and revenue curves of firms in different market conditions.



Which diagram A, B, C or D shows monopoly abnormal profits?

- 10 In 2009, the minimum wage for domestic workers increased by 8%.

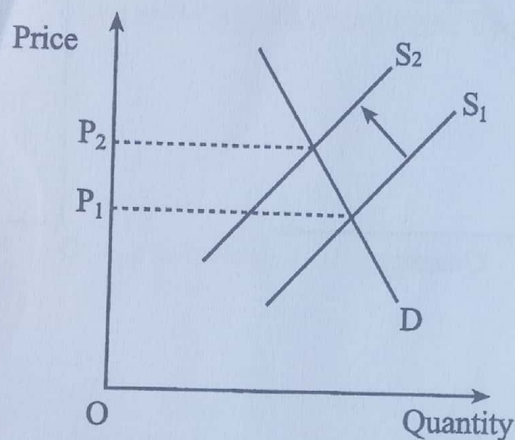
What was the likely effect of this increase?

- A an increase in the gap between the rich and the poor
- B a reduction in the demand for domestic workers by prospective employers
- C an increase in the number of women in employment
- D a reduction in the number of people wishing to be employed as domestic workers

- 11 With a 20% rise in income, Sandy increases her consumption of meat from 10 kg to 15 kg per week. What is her income elasticity of demand for meat?

A 0,25
 B 0,4
 C 2,5
 D 2,0

- 12 Which is the most likely cause of the increase in price from P_1 to P_2 shown in the diagram below?



- A an increase in excise duty
 B an increase in consumers' income
 C an increase in subsidies
 D an increase in the price of substitutes

- 13 In the equation, total fixed costs (TFC) plus X is equal to total costs (TC), what is X?

A average fixed costs
 B average total costs
 C total marginal costs
 D total variable costs

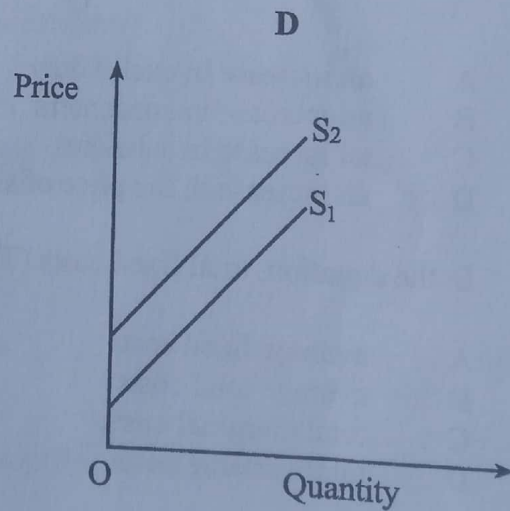
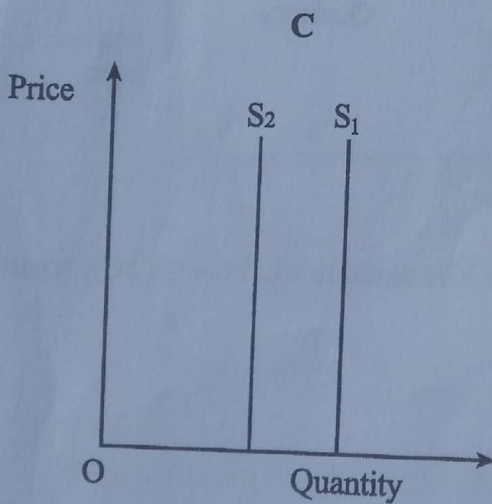
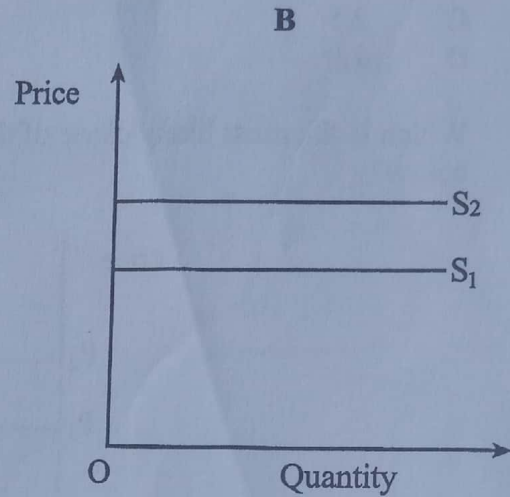
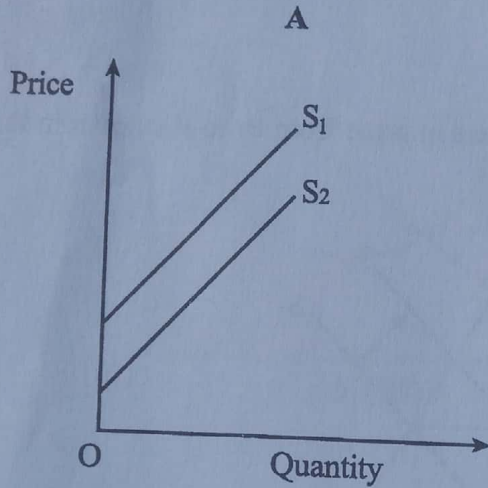
- 14 In Zimbabwe, sugar cane is refined at mills in Hippo Valley and Triangle. Molasses is a by-product.

How might this production be classified?

	Sugar	Molasses
A	primary	primary
B	secondary	secondary
C	secondary	tertiary
D	tertiary	secondary

- 15 In the diagram, S_1 is the original supply curve.

Which diagram A, B, C or D shows the effect of the introduction of a subsidy on the supply of a commodity?



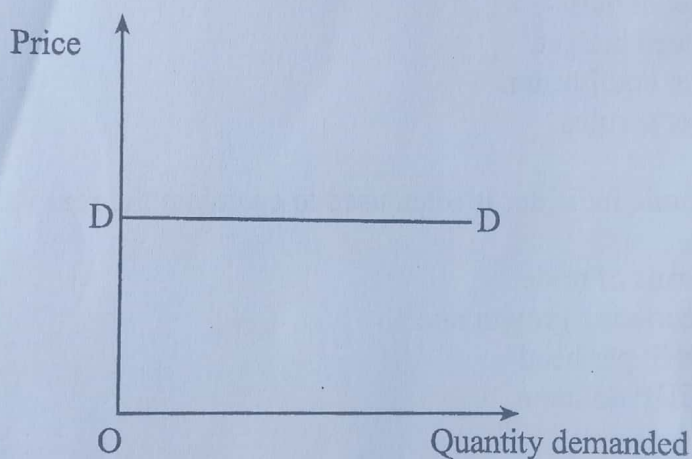
- 16 A holding company is one
- A operating in more than one country.
 - B whose shares are dealt with at the stock exchange.
 - C whose books are open to public assessment.
 - D that has control over a number of other companies.

- 17 The cost of producing five bicycles is \$1 000 and the cost of producing six bicycles is \$1 170.

What is the marginal cost of producing the sixth bicycle?

- A \$170
- B \$167
- C \$1 182
- D \$2 170

- 18 The diagram shows the demand for a product produced by a firm.



In which type of market is the firm operating under?

- A monopoly
 - B perfect competition
 - C monopolistic competition
 - D oligopoly
- 19 After a good harvest, farmers are encouraged to trade their surplus produce for cash to avoid losses through poor grain storage facilities.

How are farmers in this case being encouraged to use money?

- A as a store of wealth
- B as a measure of value
- C as a medium of exchange
- D as a means of deferred payment

- 20 What may cause cost-push inflation?
- A lack of investment
 - B increase in consumer spending
 - C high minimum wages
 - D shortage of foreign currency
- 21 A government's expenditure was \$10 billion and its revenue was \$8,5 billion.
This indicates that the government had a
- A budget deficit.
 - B balanced budget.
 - C budget equilibrium.
 - D budget surplus.
- 22 Which economic indicator is often used to calculate the real value of money?
- A the terms of trade
 - B the economic growth rate
 - C the GNP per head
 - D the GDP deflator
- 23 When measuring GDP using the income method, which of the following is used?
- A depreciation
 - B subsidies
 - C factor payments
 - D transfer payments
- 24 What is the function of the stock exchange?
- A It provides a market for bills of exchange.
 - B It provides a market for second-hand securities.
 - C It mobilises funds for private limited companies.
 - D It prints stocks and bonds for newly established companies.
- 25 Who buys shares with the intention of earning income in the form of dividends?
- A bear
 - B broker
 - C investor
 - D bull

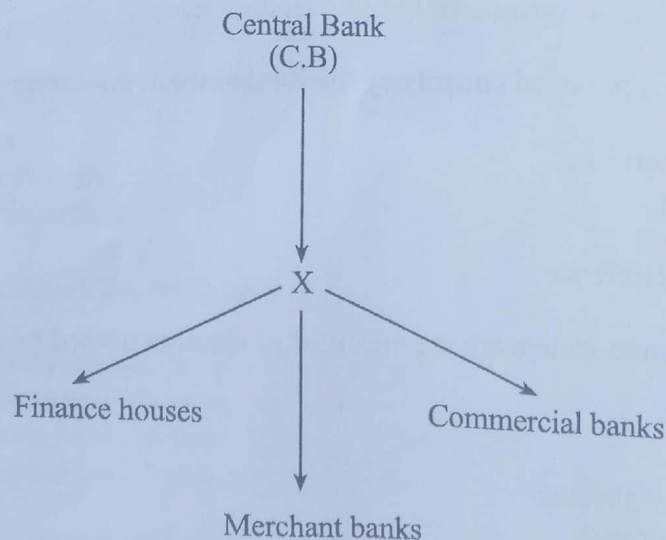
- 26 The table shows expenditure figures for a country.

Items	\$ billion
Consumer expenditure	10
Investment expenditure	6
Government expenditure	5
Export of goods and services	3
Import of goods and services	4

What is the country's gross domestic product?

- A \$14 billion
 - B \$24 billion
 - C \$20 billion
 - D \$21 billion
- 27 Which policy by the Central Bank would increase the commercial bank's ability to lend?
- A increasing special deposits
 - B selling securities on the open market
 - C buying securities on the open market
 - D increasing the commercial bank's lending rate
- 28 Which service is provided **entirely** by the Zimbabwean government?
- A health services
 - B housing
 - C education
 - D national defence
- 29 In which economic system are the means of production owned by the state and individuals?
- A mixed
 - B centrally planned
 - C free enterprise
 - D subsistence

- 30 How will the composition of an indirect tax be shown on a demand and supply diagram?
- A a movement down the supply curve
 - B a movement up the supply curve
 - C a shift of the supply curve
 - D a shift of the demand curve
- 31 In a command economy, how is the economic problem of 'what to produce' solved?
- A by market forces
 - B by private produces
 - C by the consumers
 - D by state directives
- 32 Progressive tax is one which
- A increases as income falls.
 - B increases as income increases.
 - C falls as inflation increases.
 - D falls as imports fall.
- 33 The diagram shows the general flow of money between financial institutions in a country.



What is X?

- A discount houses
- B savings banks
- C building societies
- D development banks

- 34 Which of the following currencies is referred to as a hard currency?
- A Zimbabwean dollar
 - B Zambian kwacha
 - C United States dollar
 - D South African rand
- 35 Which formula is used to calculate terms of trade?
- A $\frac{\% \text{ change in volume of exports}}{\% \text{ change in volume of imports}}$
 - B $\frac{\text{volume of exports}}{\text{volume of imports}}$
 - C $\frac{\text{current balance}}{\text{invisible balance}} \times \frac{100}{1}$
 - D $\frac{\text{index of export prices}}{\text{index of import prices}} \times \frac{100}{1}$
- 36 Which of the following is a characteristic of **most** developing countries?
- A high standard of living
 - B high population growth rate
 - C high income per capita
 - D high employment rate
- 37 Which international institution specialises in short-term assistance for balance of payment problems?
- A the World Bank (WB)
 - B the United Nations Food and Agriculture Organisation (FAO)
 - C the International Monetary Fund (IMF)
 - D the Southern African Development Community (SADC)
- 38 The exchange rate between the Zimbabwe dollar (Z\$) and the South African rand (SAR) changes from Z\$1 = SAR 0,50 to Z\$1 = SAR 0,40.

What does this mean?

- A The rand is now less expensive compared with the dollar.
- B The rand has increased in value against the dollar.
- C The exchange value of the dollar increased.
- D Zimbabwe goods will be more expensive in South African shops.

- 39 A government limits the number of vehicles imported to one vehicle per household.

This is an example of

- A a quota.
- B an embargo.
- C a subsidy.
- D a tariff.

- 40 The table relates to a country's balance of payments.

Exports	\$600 million
Imports	\$900 million
Investment and capital flows	\$200 million

What is the country's balance of payments on current account?

- A +\$800 million
- B -\$300 million
- C -\$100 million
- D -\$700 million